

FINANCE

Expense Policy

Rules for business travel, meals, conveyance, client entertainment and expense reimbursement

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Document owner	Finance Controller (CFO Office)	Effective date	1 January 2026
Applies to	All employees (limits vary by grade G1 to G6)	Classification	Internal - Confidential

Abstract. This policy explains which business expenses Nexora reimburses, the limits that apply by employee grade, and how claims are submitted, approved and paid. It covers domestic and international travel, accommodation, per diem allowances, local conveyance, client entertainment and travel advances. Claims must be submitted within 15 calendar days with valid receipts; non-compliant claims are returned or rejected. All amounts are in Pakistani Rupees (PKR) unless stated.

Keywords: expense policy, reimbursement, travel, per diem, hotel limit, receipts, travel advance, approval

1. Principles

- Spend company money as carefully as your own; choose the reasonable option, not the most expensive one.
- Expenses must be **business-related, reasonable, documented and approved** according to this policy.
- Employees are responsible for the accuracy of their claims. False claims are gross misconduct under the Employee Handbook (NX-HR-002).
- Grades (G1 to G6) are defined in the Employee Handbook.

2. Eligible Expenses and Limits

Table 1. Expense categories and general limits.

Category	Limit	Rules
Local conveyance (ride-hailing, taxi)	Actual cost	Business trips only; travel between home and office is not reimbursable
Personal vehicle for business	PKR 35 per km	Distance recorded from the route map; parking and toll fees on receipt
Business meals (working lunch or dinner with colleagues)	PKR 2,500 per person	Names of attendees and business purpose on the claim
Client entertainment	PKR 5,000 per person	Pre-approval from the department head if total exceeds PKR 50,000
Mobile phone (business use)	PKR 5,000 per month	Grade G4 and above, in addition to allowances in the Benefits Guide
Training and certifications	PKR 60,000 per year	Paid from the learning allowance in the Benefits Guide (NX-HR-003)
Office supplies and small equipment	Up to PKR 20,000	Through the office administrator; larger purchases follow the Procurement Policy (NX-FIN-002)

3. Business Travel

3.1 Per Diem and Accommodation

For overnight travel within Pakistan, employees receive a fixed daily allowance for meals and incidental costs, and hotel stays are reimbursed up to the nightly cap. The caps apply in Lahore, Karachi and Islamabad; in other cities the hotel cap is 70% of the amount shown. Figure 1 compares the limits by grade.

Table 2. Domestic travel limits by grade.

Grade	Per diem (PKR per day)	Hotel cap (PKR per night)	Air travel class
G1 and G2	4,000	15,000	Economy
G3	6,000	15,000	Economy
G4	8,000	20,000	Economy
G5	10,000	30,000	Economy; premium economy for flights over 6 hours
G6	12,000	30,000	Business class for flights over 6 hours

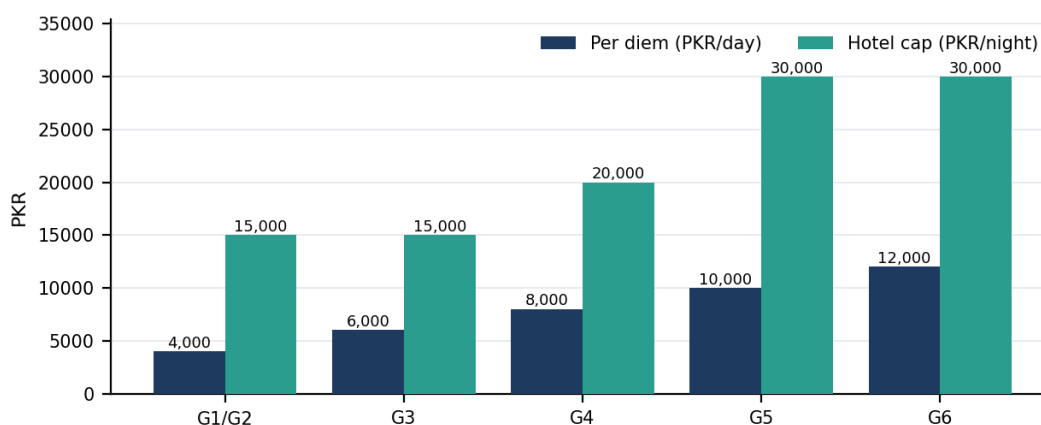


Figure 1. Domestic per diem and hotel cap by employee grade.

3.2 International Travel

International trips need approval from the department head and the CFO office at least 14 days before departure. Per diem is paid in US dollars: **USD 75** for G1 to G3, **USD 100** for G4, **USD 125** for G5 and **USD 150** for G6. Hotels are booked through the approved travel desk within a per-night budget agreed at approval. Employees must hold valid travel insurance, which the company arranges.

3.3 Travel Advances

An advance of up to **80%** of the estimated trip cost can be requested at least 5 working days before travel. The advance must be settled with receipts within **7 days** of return; unsettled advances are recovered from the next salary.

4. Claim Submission and Approval

All claims are submitted in the Expense portal within **15 calendar days** of the expense (or of return from travel). Claims submitted later require the CFO office's exception approval. A receipt or tax invoice is mandatory for any expense above PKR 500; for smaller amounts a signed self-declaration is accepted up to PKR 3,000 per month. Figure 2 shows the process.

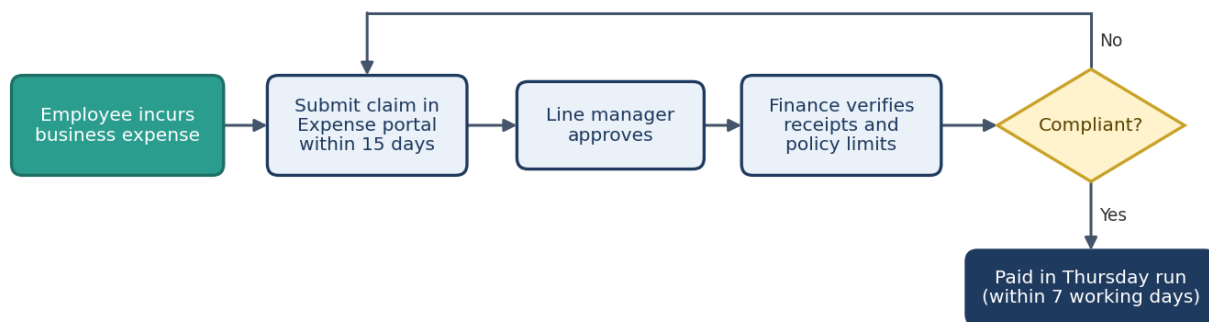


Figure 2. Expense claim submission, approval and payment flow.

Table 3. Approval authority for expense claims.

Claim amount (per claim)	Approver(s)
Up to PKR 50,000	Line manager, then Finance
PKR 50,001 to 200,000	Department head, then Finance
Above PKR 200,000	Department head and CFO office
Claims by department heads and above	Their reporting executive (CEO for C-level)

5. Non-Reimbursable Expenses

- Traffic fines, parking penalties and vehicle repairs; alcohol or any prohibited item; personal shopping, entertainment or gifts.
- Travel of family members, upgrades not covered by policy, and minibar or laundry charges on trips shorter than 5 days.
- Expenses already paid through the company card, procurement or the learning allowance (no double claims).
- Expenses without a receipt above PKR 500.

6. Audit and Non-Compliance

Finance audits at least 10% of claims each quarter. Duplicate or falsified claims will be recovered in full and reported to HR; repeated late submissions may lead to a claim being held for approval by the department head.

7. References

- [1] Nexora Employee Handbook, NX-HR-002 (grades and conduct).
 [2] Nexora Benefits Guide, NX-HR-003 (allowances).
 [3] Nexora Procurement Policy, NX-FIN-002.
 [4] Income Tax Ordinance, 2001 (Pakistan): withholding and allowable business expenses.

8. Revision History

Table 4. Document revision history.

Version	Date	Author	Summary of change
2.0	01 Jan 2025	Finance Policy Team	Introduced grade-based per diem and hotel caps
2.2	01 Jul 2025	Finance Policy Team	Added international per diem and advance rules
2.3	01 Jan 2026	Finance Policy Team	Reduced submission window from 30 to 15 days; added approval matrix

